

SHARES AND DIVIDENDS

What is a dividend?

Shareholders in a company are usually entitled to a payment of cash from its profits. The company pays a dividend sum on every share it has issued, but it is up to the company's board to decide how much profit to reinvest and pay out. Investors may look at a company's rate of dividend payout, along with its capital growth, to gauge its financial health and decide whether to invest in it. Investors who rely on shares for income are likely to invest in companies that reliably

pay out dividends. In a good economic climate, they win twice—the dividend provides income and the capital value of the shareholding increases. However, there is always a risk that the value of shares will go down, and companies only pay dividends if they have made a profit.

Paying dividends is a good way for a company to attract investors. It is essentially a reward for putting money into a company so that it can fund its existing output and develop and expand the business.



NEED TO KNOW

- › **Dividend yield ratio** Measure of how much a company pays out in dividends relative to the price of each share
- › **Dividend per share** Sum paid on each share after retained profits have been calculated
- › **Dividend payout ratio** Percentage of a company's net income that is paid out in the form of dividends

How it works

Shareholders usually receive a dividend if the company in which they hold shares has retained enough profit in that financial year to make the payment. The decision to make a payment is made by the board of directors. The dividend might be paid every quarter (four times a year), or in two parts—an interim dividend may be made partway through the year, with the final dividend paid just after the end of the financial year.

Announcing retained profits

At the end of the financial year, the company announces its retained profits: the sum it intends to keep for reinvesting or paying off debts rather than pay out as dividends.



Making the decision for dividends

The board of directors makes a decision on whether there is enough to warrant a dividend payment, and if so, how much. It records details of each payment in dividend vouchers.

